

Kenya Airways PLC Full Year 2023 Investor Briefing

“Improved Operations & Recovery Strategy Bearing Fruits”

Agenda



- **Introduction of session**
- **Industry Overview**
- **Business Updates**
- **Financial Highlights**
- **Future Outlook**
- **Q&A**

Opening Remarks

Mr. Michael Joseph
Chairman

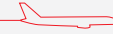


Industry Overview

Mr. Allan Kilavuka
Group MD & CEO



Global Aviation Performance FY23 vs FY22



Global Available Seat
Kilometers (ASK)

24.1%



African carriers
passenger traffic
growth

36.9%



Global Air
Cargo
demand

1.9%



Passenger Traffic
growth

25.3%



Global Passenger
Load-Factor (PLF)

82.3%

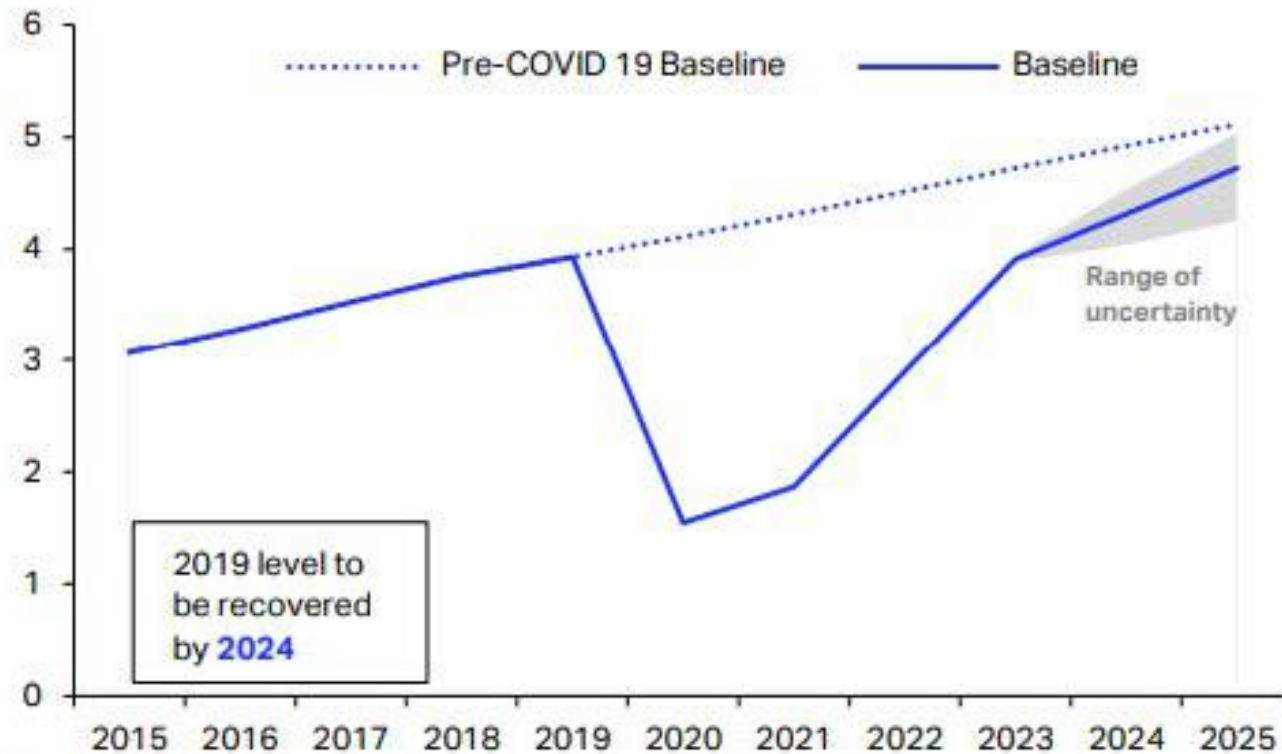


Source: IATA's Air Passenger Market Analysis, December 2023/ IATA air cargo market analysis January 2024

Passenger Recovery Numbers

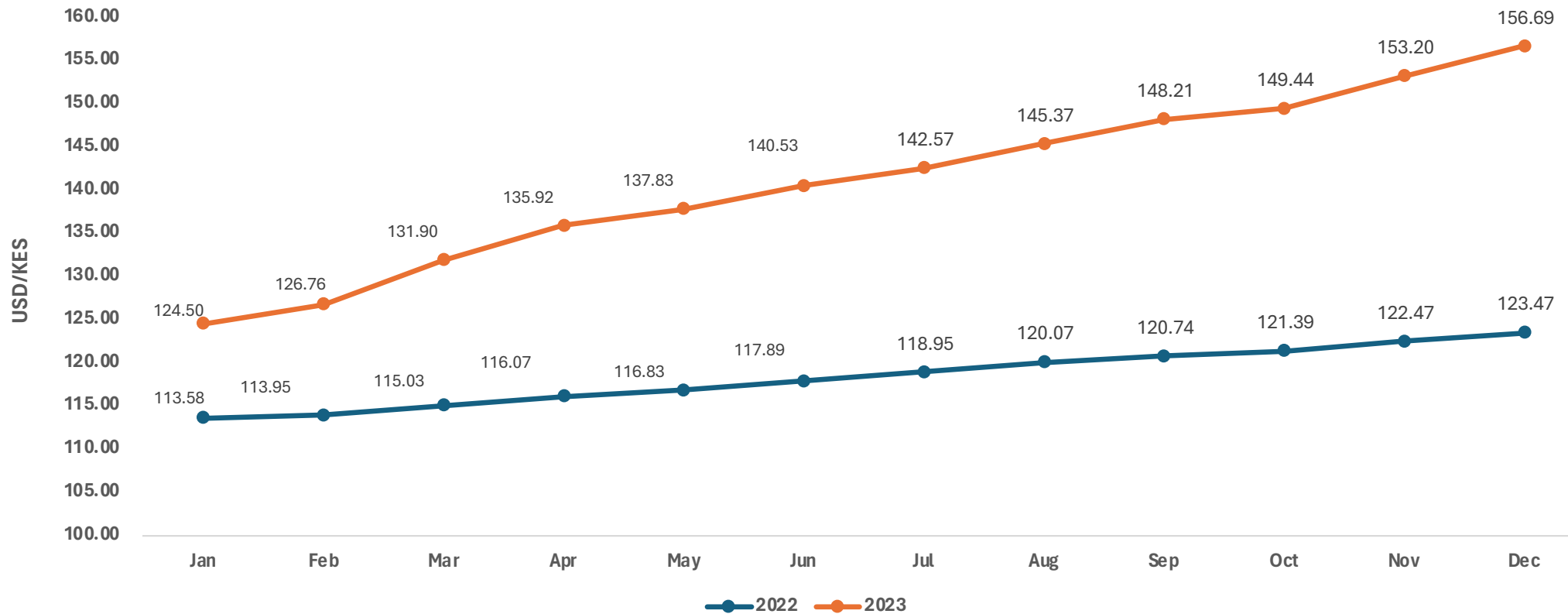


Chart 23: Global passengers in billions



Source: IATA Sustainability and Economics/Tourism Economics

USD: KES Exchange rates 2022 vs 2023



Business Updates

Network Updates FY23 vs FY22



Mauritius
4 weekly to **Daily** from January



Addis Ababa - Ethiopia
4 weekly to **Daily** from March



London - UK
7 to **10 times** weekly from May



Johannesburg - South Africa
19 to **26 weekly** from June



New York - USA
5 weekly to **Daily** from June



Khartoum - Sudan 3 weekly
Suspended in June

24%
Frequency
Increase

44%
Increase in
ASK's)

Airline Partnerships



Expanded Codeshare

Opened up more cities in US & Canada

Destinations:

- 31 in Africa
- 57 across the U.S. & Canada



Full codeshares

- Access to majority of both Network destinations



Interline Agreement

Destinations:

- 28 in Africa
- 23 to West and South Asia, the Far East, the Indian Ocean and Middle East



Interline Agreement

- Access to Eastern Europe, middle east & India



Interline Agreement

Destinations:

- 40 in Africa
- 36 in China
- 12 International

Sports Partnerships



The Sustainable Flight Challenge



- **22** airlines participated
- **155** employees directly involved
- **2** long haul flights mounted **NBO-AMS-NBO**.
- First African airline to use **Sustainable Aviation Fuel (SAF)** for long haul flight to Europe.
- TSFC is about embedding speed and innovation in environmental sustainability practice in the airline industry through knowledge sharing.



Customer Experience Updates

Revamped KQ Website



Asante Rewards



Inflight Revamp



Inflight meals
Plating service for long-haul



Enhanced comfort in
business Class

Customer communications



Real time alerts

Operational Updates



4 new Ground Power Units (GPU)



4 new electronic trucks (E-trucks)



Improved Aircraft Reliability & Availability

Signed long-term contract for Total Component Support

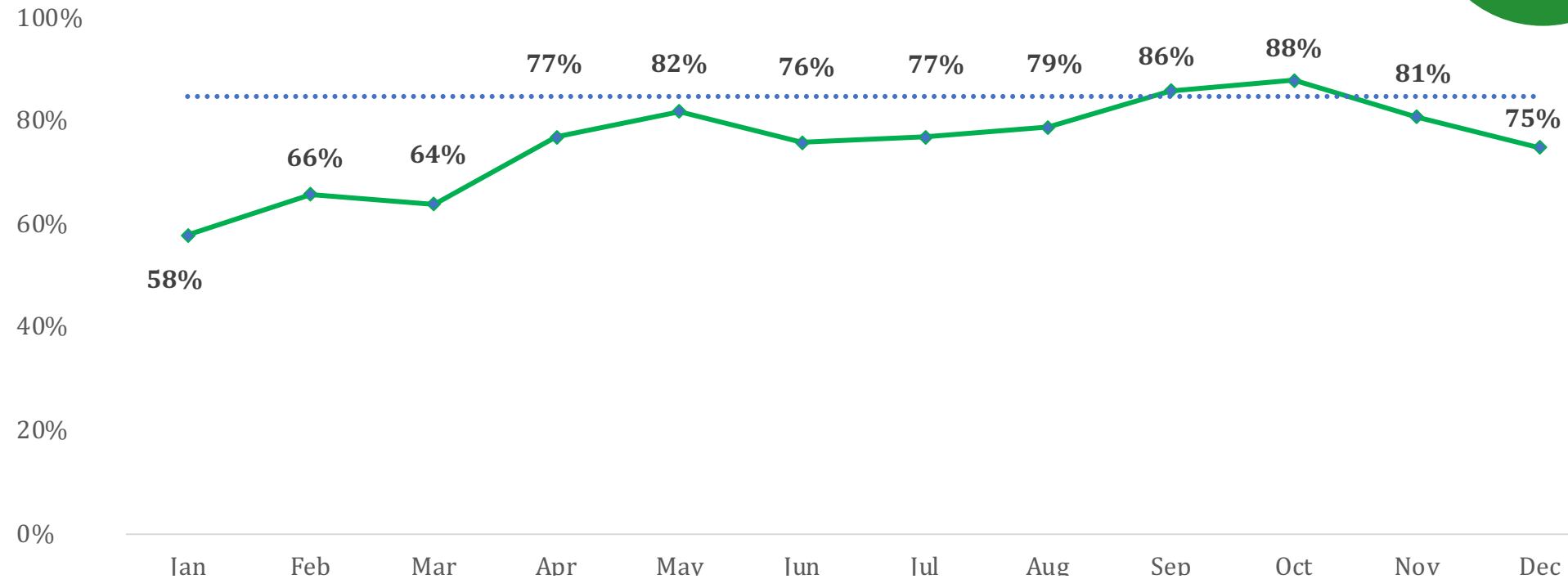


IATA CEIV Certification

- Pharma Transportation
- Warehousing

Improved On Time Performance (OTP)

OTP
TARGET
80%



Average

From

58%

To

76%

Operational Highlights



+51%

Revenue Passenger
KMs (Mil's)

CY 11 605
PY 7 672



+35%

Passenger Numbers (Mil's)

CY 5.0
PY 3.7



+4 pts

Cabin Factor (%)

CY 78.4%
PY 74.5%



-14%

Cargo Volumes (Tonnes)

CY 56 576
PY 65 955



+29%

Block Hours

CY 151 660
PY 117 732



+53%

Turnover (Ksh Mil's)

CY 178 496
PY 116 787

2023 Awards



- **World Travel Awards 2023**
 - Africa's leading Airline Economy class
 - Africa's leading Inflight Magazine



- **Africa's second most efficient - 2023**
On-Time Performance Review report by Cirium

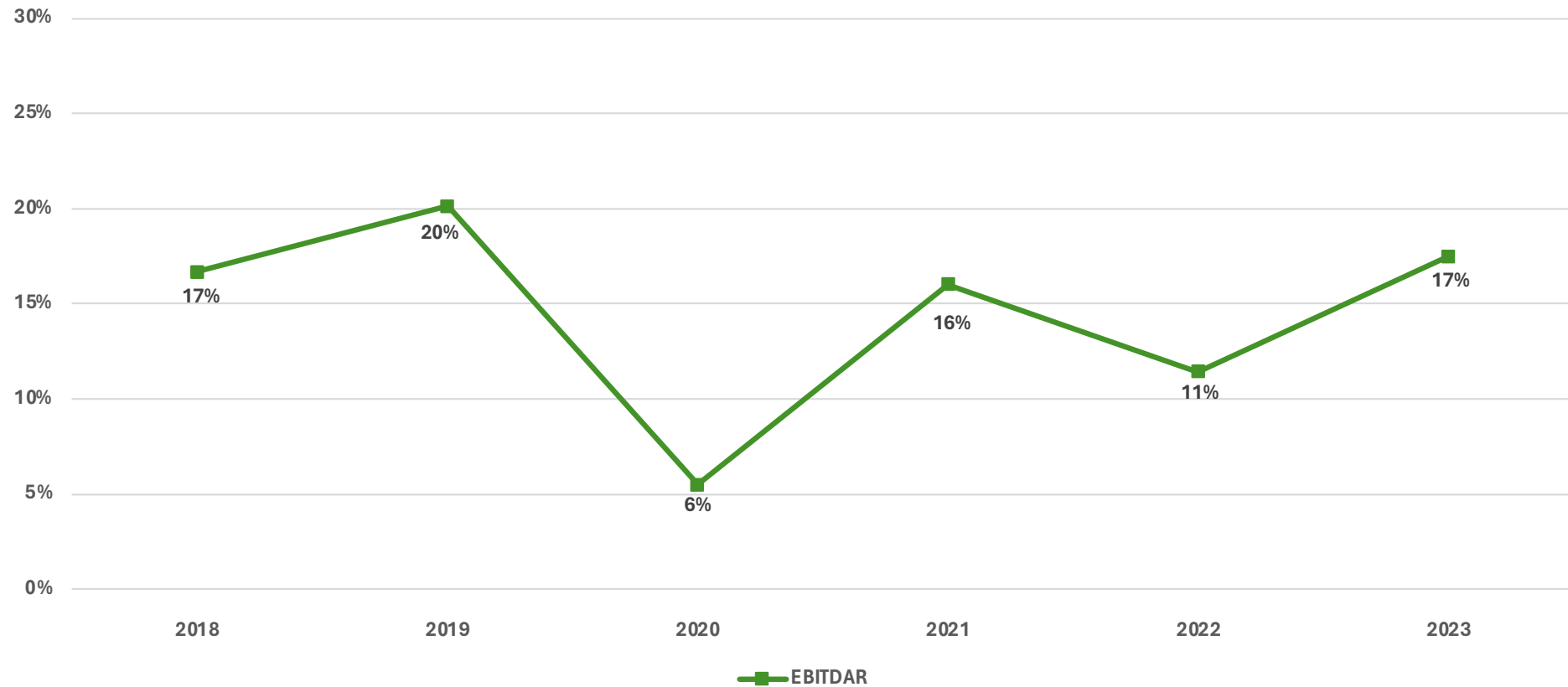


- **2023 Sustainable Flight Challenge Awards**
Best Innovation & Most Impactful Breakthrough for piloting Sustainable Aviation Fuel (SAF) for a long-haul commercial flight from Africa to Europe.



- **AfrSAFE 2023:** Airline of the Year for consistent adherence to rigorous safety protocols.

KQ Group EBITDAR





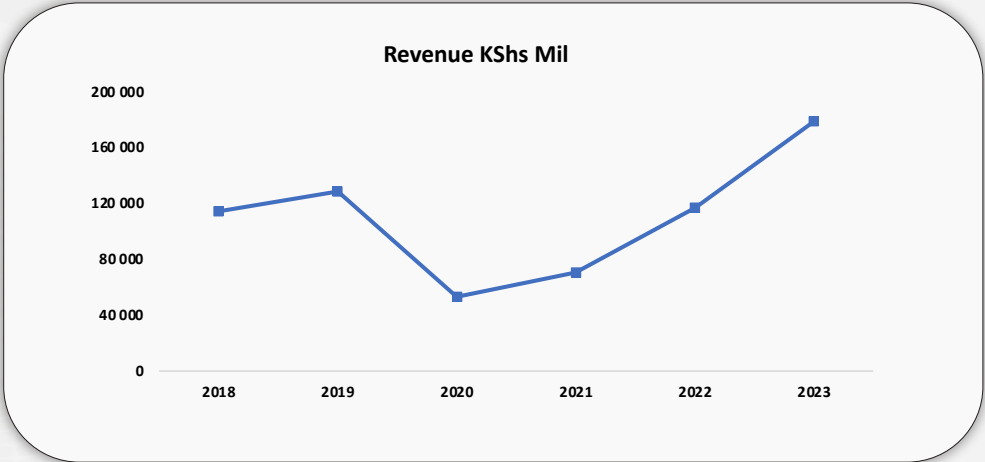
Financial Highlights



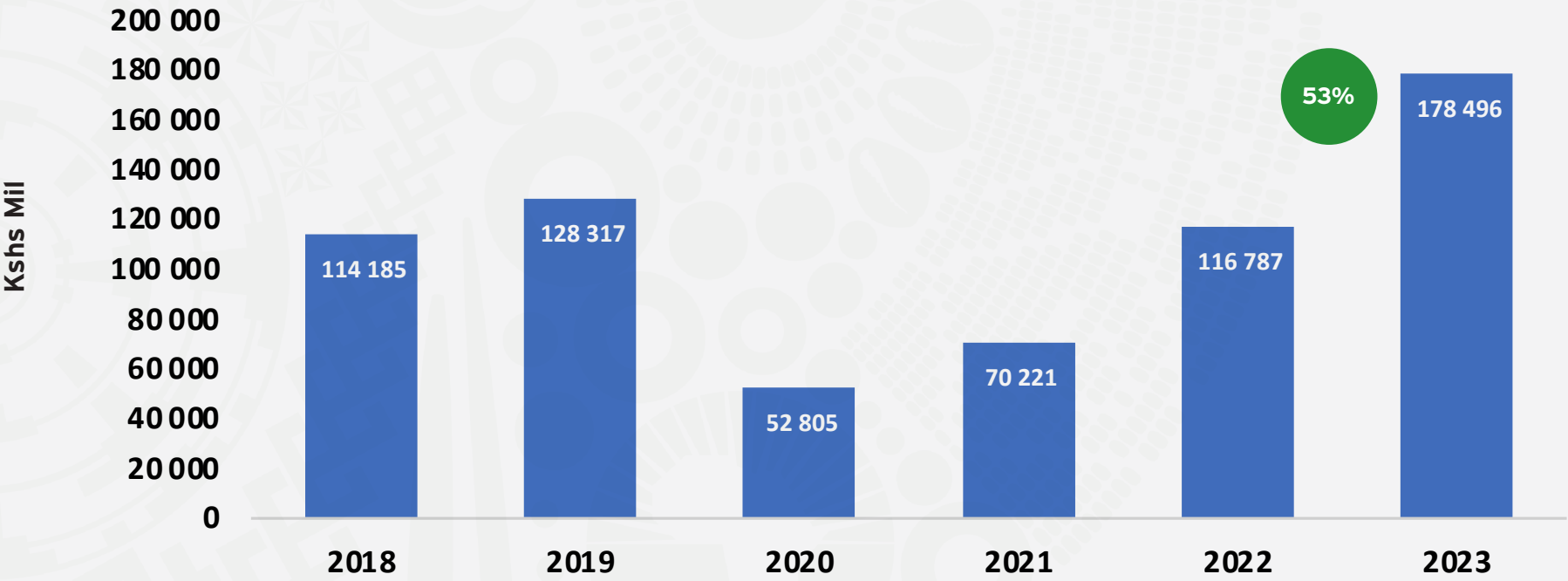
Hellen Mwariri
Chief Finance Officer

Financial Highlights

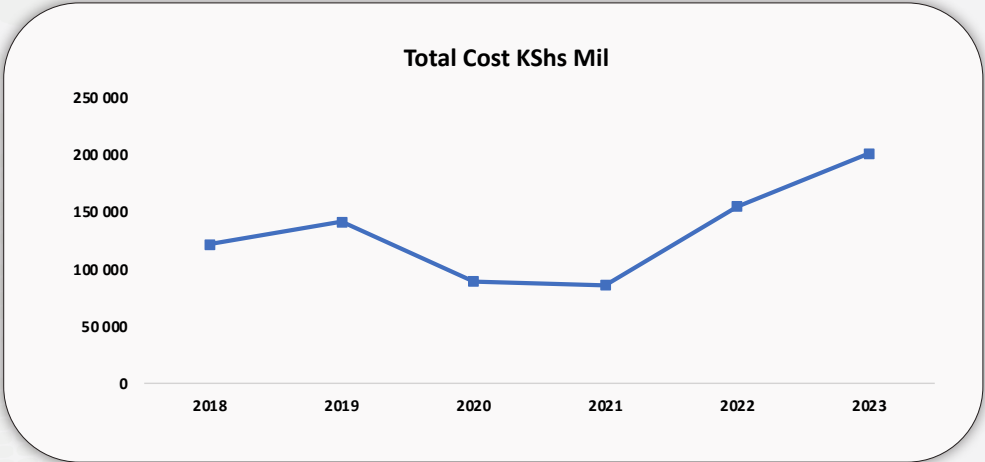
Turnover Trend



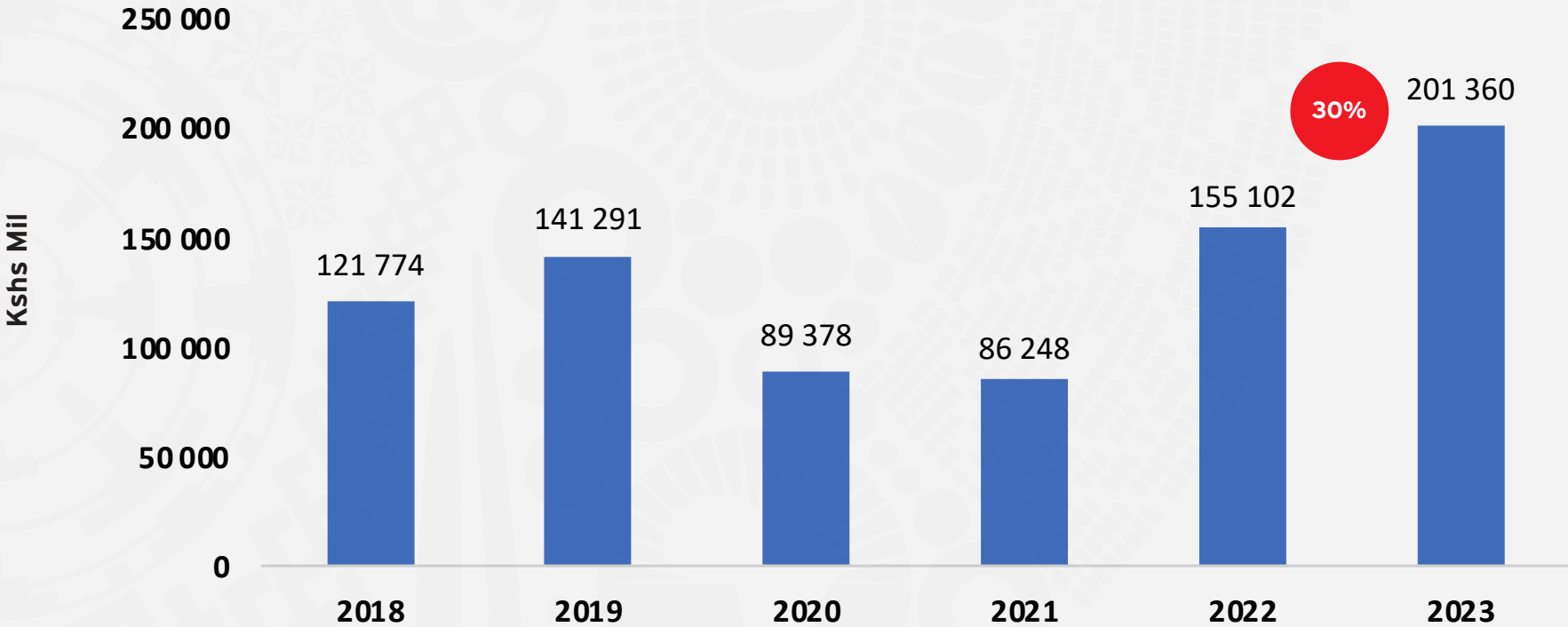
Revenue



Cost Trend



Total cost



Summary of Consolidated Income Statement

	2023 Ksh. Mil	2022 Ksh. Mil	Variance
Total Income	178,496	116,787	53%
Total Operating Costs	(167,967)	(122,403)	-37%
Operating Profit / Loss	10,530	(5,616)	287%
Operating Margin %	5.9	(4.8)	
Finance cost	(33,559)	(32,893)	-2%
Interest income	165	194	-15%
Loss before Tax	(22,864)	(38,315)	40%
Tax	167	51	226%
Net loss after tax	(22,697)	(38,264)	41%
Net Margin %	(12.7)	(32.8)	

Summary of Consolidated Statement of Financial Position

	2023 Ksh. Mil	2022 Ksh. Mil
Assets		
Non-current assets	124,468	127,241
Current assets	52,145	41,671
TOTAL ASSETS	176,613	168,912
EQUITY AND LIABILITIES		
Equity attributable to owners	(136,178)	(108,140)
Non-controlling interest	70	50
TOTAL EQUITY	(136,108)	(108,090)
Liabilities		
Non - current liabilities	187,948	159,728
Current liabilities	124,773	117,274
	312,721	277,002
TOTAL EQUITY AND LIABILITIES	176,613	168,912

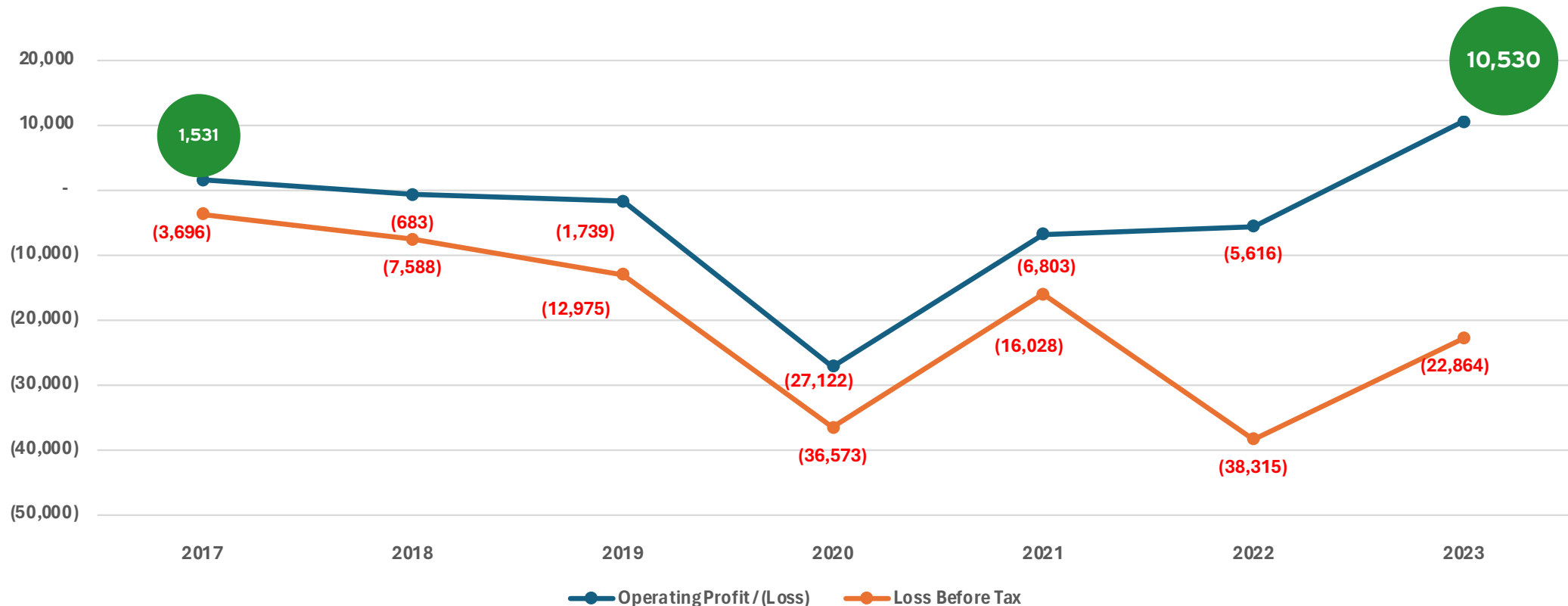
Summary of Consolidated statement of Cash flow

	2023 Ksh Mil	2022 Ksh Mil
Cashflows from operating activities		
Cash generated from operations	28,921	15,782
Interest Received	165	194
Interest Paid	(3,690)	(5,528)
Income Taxes Paid	(56)	(82)
Net cash generated from operating activities	25,340	10,366
Net cash generated from investing activities	(7,741)	(4,333)
Net cash used in financing activities	(19,207)	(2,495)
(Decrease)in cash & cash equivalents	(1,608)	3,538
Effects of exchange rate changes on cash and cash equivalents	(260)	(279)
Cash and cash equivalents at beginning of year	9,633	6,374
Cash and cash equivalents at end of year	7,765	9,633

Mr. Allan Kilavuka
Group MD & CEO



Operating Profit and Loss before Tax Ksh Mil



**For the first time in 7 years KQ has reported an operating profit.
The business is therefore viable and poised to return to profitability.**

Future Outlook

Future Outlook

Expansion

- Fleet optimization
 - Additional Cargo freighters
 - Additional Passenger Aircraft
 - Jambojet fleet expansion
- Maintenance Repair Overhaul (MRO)
- Approved Training Organisation(ATO)



Recapitalization of the business



Diversification

- KQ Health expansion
- Fahari Aviation







Thank You